TYPES OF ANALYTICS

DESCRIPTIVE ANALYTICS

Answers: What happened?

It summarizes historical data to understand current trends (e.g., monthly sales reports, social media metrics).

DIAGNOSTIC ANALYTICS

Answers: Why did it happen?

It digs deeper into descriptive data to find the root causes of specific events or anomalies (e.g., analyzing why customer churn spiked last month).

PREDICTIVE ANALYTICS

Answers: What is likely to happen?

It uses historical data, machine learning, and statistical models to forecast future outcomes (e.g., predicting future equipment failures or sales trends).

PRESCRIPTIVE ANALYTICS

Answers: What should we do about it?

It recommends the best course of action to take advantage of a predicted outcome or mitigate a risk (e.g., automated bidding strategies or logistics optimization).